Contacts:

Michael Lin / David Wong
UMC, Investor Relations
+ 886-2-2658-9168, ext. 16900
jinhong_lin@umc.com
david_wong@umc.com

UMC Reports Second Quarter 2025 Results

22/28nm business reaches record high, accounting for 40% of Q2 revenue

Second Quarter 2025 Overview[1]:

- **Revenue: NT$58.76 billion (US$2.01 billion)**
- **Gross margin: 28.7%; Operating margin: 18.4%**
- **Revenue from 22/28nm: 40%**
- **Capacity utilization rate: 76%**
- **Net income attributable to shareholders of the parent: NT$8.90 billion (US$304 million)**
- **Earnings per share: NT$0.71; earnings per ADS: US$0.121**

Taipei, Taiwan, ROC – July 30, 2025 – United Microelectronics Corporation (NYSE: UMC; TWSE: 2303) ("UMC" or "The Company"), a leading global semiconductor foundry, today announced its consolidated operating results for the second quarter of 2025.

Second quarter consolidated revenue was NT$58.76 billion, increasing 1.6% from NT$57.86 billion in 1Q25. Compared to a year ago, 2Q25 revenue increased 3.4%. Consolidated gross margin for 2Q25 was 28.7%. Net income attributable to the shareholders of the parent was NT$8.90 billion, with earnings per ordinary share of NT$0.71.

Jason Wang, co-president of UMC, said, "In the second quarter, the utilization rate increased to 76%, as wafer shipments grew 6.2% QoQ, primarily driven by communications in imaging signal processors, NAND controllers, WiFi and LCD controllers. While we experienced an increase in the overall utilization and a growth of our 22/28nm portfolio, the unfavorable foreign exchange movement of the NT dollar capped our gross margin to 28.7% by nearly 3 percentage points. Revenue from our 22/28nm portfolio continued to grow sequentially, now accounting for 40% of total sales, a record high in both percentage and absolute dollar terms. Our industry-leading 22/28nm solutions continue to win adoption by customers, and we expect to see further market

[1] Unless otherwise stated, all financial figures discussed in this announcement are prepared in accordance with TIFRSs recognized by Financial Supervisory Commission in the ROC, which is different from IFRSs issued by the International Accounting Standards Board. They represent comparisons among the three-month period ending June 30, 2025, the three-month period ending March 31, 2025, and the equivalent three-month period that ended June 30, 2024. For all 2Q25 results, New Taiwan Dollar (NT$) amounts have been converted into U.S. Dollars at the June 30, 2025 exchange rate of NT$ 29.28 per U.S. Dollar.

share gains in wireless communications over the coming quarters. We have always believed that, with the right differentiation, 22/28nm is a strong and long-lasting node with a robust product pipeline. In addition, the new Phase 3 facility at our Singapore Fab 12i, set to start production in 2026, will enable UMC to better serve customers seeking diversified manufacturing for enhanced supply chain resilience."

Co-president Wang added, "Looking ahead to the third quarter, we expect a mild increase in wafer shipments. However, adverse foreign exchange movement will lead to a decline in NT dollar revenue. We are closely monitoring the near-term uncertainties and risks as the markets anticipate US tariff policies. To navigate macro and geopolitical headwinds, including foreign exchange risks, UMC will continue to actively manage our foreign exchange exposure and maintain financial flexibility to enhance our financial structure and business resilience."

Co-president Wang said, "UMC was the recipient of two prestigious accolades at the 2025 Asia Responsible Enterprise Awards (AREA), organized by Enterprise Asia. Among the honors, UMC Co-President and Chief Sustainability Officer SC Chien received an award in the Responsible Business Leadership category, recognizing his leadership in advancing both business operations and sustainable development at UMC. In addition, UMC received the Corporate Sustainability Reporting Award for the company's longstanding commitment to transparency and integrity in ESG disclosures."

Summary of Operating Results

Operating Results					
(Amount: NT$ million)	2Q25	1Q25	QoQ % change	2Q24	YoY % change
Operating Revenues	58,758	57,859	1.6	56,799	3.4
Gross Profit	16,878	15,447	9.3	19,983	(15.5)
Operating Expenses	(6,467)	(6,123)	5.6	(6,311)	2.5
Net Other Operating Income and Expenses	409	462	(11.5)	219	86.6
Operating Income	10,820	9,786	10.6	13,891	(22.1)
Net Non-Operating Income and Expenses	(666)	(439)	51.5	2,529	-
Net Income Attributable to Shareholders of the Parent	8,903	7,777	14.5	13,786	(35.4)
EPS (NT$ per share)	0.71	0.62		1.11	
(US$ per ADS)	0.121	0.093		0.171	
Exchange rate (USD/NTD)	29.28	33.18		32.43	

Note：Sums may not equal totals due to rounding.

Second quarter operating revenues grew 1.6% sequentially to NT$58.76 billion. Revenue contribution from 40nm and below technologies represented 55% of wafer revenue. Gross profit increased 9.3% QoQ to NT$16.88 billion, or 28.7% of revenue. Operating expenses increased 5.6% to NT$6.47 billion. Net other operating income decreased 11.5% to NT$0.41 billion. Net non-operating expenses totaled NT$0.67 billion. Net income attributable to shareholders of the parent amounted to NT$8.90 billion.

Earnings per ordinary share for the quarter was NT$0.71. Earnings per ADS was US$0.121. The basic weighted average number of shares outstanding in 2Q25 was 12,484,877,493, compared with 12,484,780,989 shares in 1Q25 and 12,414,189,313 shares in 2Q24. The diluted weighted average number of shares outstanding was 12,534,082,055 in 2Q25, compared with 12,579,207,466 shares in 1Q25 and 12,529,942,186 shares in 2Q24. The fully diluted shares counted on June 30, 2025 were approximately 12,534,367,000.

Detailed Financials Section

Operating revenues increased to NT$58.76 billion. COGS decreased 1.3% QoQ to NT$41.88 billion. Gross profit increased 9.3% to NT$16.88 billion. Operating expenses grew 5.6% QoQ to NT$6.47 billion, as G&A increased 9.1% to NT$1.68 billion, R&D increased 5.8% to NT$4.19 billion, while Sales & Marketing decreased 4.5% to NT$0.59 billion. Net other operating income was NT$0.41 billion. In 2Q25, operating income increased 10.6% QoQ to NT$10.82 billion.

COGS & Expenses

(Amount: NT$ million)	2Q25	1Q25	QoQ % change	2Q24	YoY % change
Operating Revenues	58,758	57,859	1.6	56,799	3.4
COGS	(41,880)	(42,412)	(1.3)	(36,816)	13.8
Depreciation	(12,317)	(12,321)	(0.0)	(9,460)	30.2
Other Mfg. Costs	(29,563)	(30,091)	(1.8)	(27,356)	8.1
Gross Profit	16,878	15,447	9.3	19,983	(15.5)
Gross Margin (%)	28.7%	26.7%		35.2%	
Operating Expenses	(6,467)	(6,123)	5.6	(6,311)	2.5
Sales & Marketing	(591)	(619)	(4.5)	(678)	(12.8)
G&A	(1,682)	(1,542)	9.1	(1,804)	(6.8)
R&D	(4,194)	(3,964)	5.8	(3,853)	8.9
Expected Credit Impairment Gain (Loss)	(0)	2	-	24	-
Net Other Operating Income & Expenses	409	462	(11.5)	219	86.6
Operating Income	10,820	9,786	10.6	13,891	(22.1)

Note：Sums may not equal totals due to rounding.

Net non-operating expenses in 2Q25 was NT$0.67 billion, primarily reflecting the NT$1.28 billion in exchange loss, offset by the NT$0.33 billion in net investment gain, and the NT$0.31 billion in net interest income.

Non-Operating Income and Expenses

(Amount: NT$ million)	2Q25	1Q25	2Q24
Non-Operating Income and Expenses	(666)	(439)	2,529
Net Interest Income and Expenses	309	219	701
Net Investment Gain and Loss	326	(769)	1,440
Exchange Gain and Loss	(1,280)	115	407
Other Gain and Loss	(20)	(5)	(19)

Note：Sums may not equal totals due to rounding.

In 2Q25, cash inflow from operating activities was NT$22.10 billion. Cash outflow from investing activities totaled NT$9.44 billion, which included NT$8.37 billion in capital expenditures, resulting in free cash flow of NT$13.73 billion. Cash inflow from financing activities was NT$1.15 billion, primarily from NT$5.20 billion in bonds issued, offset by a NT$3.77 billion decreased in bank loans. Net cash flow in 2Q25 amounted to NT$5.64 billion. Over the next 12 months, the company expects to repay NT$3.72 billion in bank loans.

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Cash Flow Summary

(Amount: NT$ million)	For the 3-Month Period Ended Jun. 30, 2025	For the 3-Month Period Ended Mar. 31, 2025
Cash Flow from Operating Activities	22,098	23,826
Net income before tax	10,154	9,347
Depreciation & Amortization	14,506	14,128
Share of loss (profit) of associates and joint ventures	(446)	208
Income tax paid	(2,135)	(585)
Changes in working capital & others	19	728
Cash Flow from Investing Activities	(9,438)	(10,506)
Decrease (increase) in financial assets measured at amortized cost	(1,397)	252
Acquisition of PP&E	(7,543)	(14,153)
Acquisition of intangible assets	(1,045)	(329)
Others	547	3,724
Cash Flow from Financing Activities	1,149	(13,776)
Bank loans	(3,767)	(13,018)
Bonds issued	5,200	-
Others	(284)	(758)
Effect of Exchange Rate	(8,169)	1,810
Net Cash Flow	5,640	1,354
Beginning balance	106,354	105,000
Ending balance	111,994	106,354

Note：Sums may not equal totals due to rounding.

Cash and cash equivalents increased to NT$111.99 billion. Days of inventory decreased 1 day to 76 days.

Current Assets			
(Amount: NT$ billion)	2Q25	1Q25	2Q24
Cash and Cash Equivalents	111.99	106.35	121.23
Accounts Receivable	32.38	34.80	32.53
Days Sales Outstanding	52	54	51
Inventories, net	34.02	35.43	36.33
Days of Inventory	76	77	88
Total Current Assets	195.18	192.32	207.22

Current liabilities increased to NT$110.39 billion due to dividends payable of NT$35.79 billion. Long-term credit/bonds decreased to NT$41.60 billion. Total liabilities increased to NT$211.10 billion, leading to a debt to equity ratio of 63%.

Liabilities			
(Amount: NT$ billion)	2Q25	1Q25	2Q24
Total Current Liabilities	110.39	72.87	124.97
Accounts Payable	8.54	9.27	8.18
Short-Term Credit / Bonds	21.30	17.63	16.21
Payables on Equipment	8.35	8.46	22.36
Dividends Payable	35.79	-	37.59
Other	36.41	37.51	40.63
Long-Term Credit / Bonds	41.60	44.63	47.48
Total Liabilities	211.10	182.13	230.87
Debt to Equity	63%	47%	65%

Analysis of Revenue[2]

Revenue from Asia Pacific increased to 67%, while business from North America was 20% of sales. Business from Europe increased to 8%, while contribution from Japan was 5%.

Revenue Breakdown by Region

Region	2Q25	1Q25	4Q24	3Q24	2Q24
North America	20%	22%	25%	26%	25%
Asia Pacific	67%	66%	61%	65%	64%
Europe	8%	7%	11%	5%	7%
Japan	5%	5%	3%	4%	4%

Revenue contribution from 22/28nm increased to 40% of wafer revenue, while 40nm contribution slightly decreased to 15% of sales.

Revenue Breakdown by Geometry

Geometry	2Q25	1Q25	4Q24	3Q24	2Q24
14nm and below	0%	0%	0%	0%	0%
14nm<x<=28nm	40%	37%	34%	35%	33%
28nm<x<=40nm	15%	16%	16%	13%	12%
40nm<x<=65nm	17%	16%	16%	15%	15%
65nm<x<=90nm	7%	8%	11%	10%	12%
90nm<x<=0.13um	7%	7%	10%	10%	11%
0.13um<x<=0.18um	9%	10%	9%	11%	10%
0.18um<x<=0.35um	4%	5%	4%	5%	5%
0.5um and above	1%	1%	0%	1%	2%

Revenue from fabless customers accounted for 81% of revenue.

Revenue Breakdown by Customer Type

Customer Type	2Q25	1Q25	4Q24	3Q24	2Q24
Fabless	81%	82%	84%	85%	87%
IDM	19%	18%	16%	15%	13%

Revenue from the communication segment accounted for 41%, while business from computer applications was 11% of sales. Business from consumer applications accounted for 33%, while other segments was 15% of revenue.

Revenue Breakdown by Application (1)

Application	2Q25	1Q25	4Q24	3Q24	2Q24
Computer	11%	11%	13%	13%	15%
Communication	41%	40%	39%	42%	39%
Consumer	33%	34%	29%	31%	31%
Others	15%	15%	19%	14%	15%

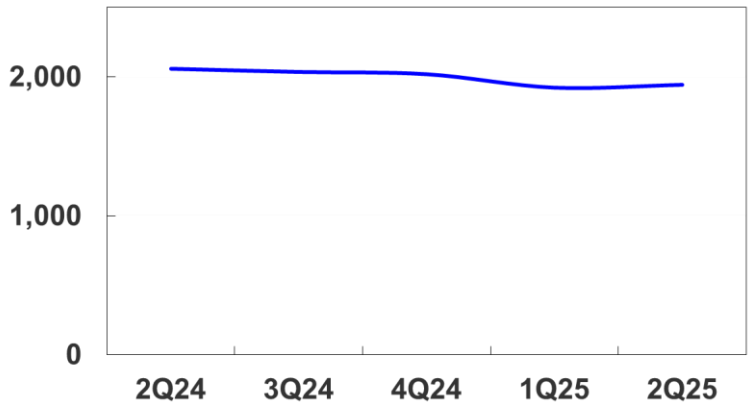
(1) ***Computer*** consists of ICs such as CPU, GPU, HDD controllers, DVD/CD-RW control ICs, PC chipset, audio codec, keyboard controller, monitor scaler, USB, I/O chipset, WLAN. ***Communication*** consists of handset components, broadband, bluetooth, Ethernet, LAN, DSP, etc. ***Consumer*** consists of ICs used for DVD players, DTV, STB, MP3/MP4, flash controller, game consoles, DSC, smart cards, toys, etc.

[2] Revenue in this section represents wafer sales.

Blended ASP Trend

Blended average selling price (ASP) remained firm in 2Q25.

Unit: USD



Shipment and Utilization Rate[3]

Wafer shipments increased 6.2% QoQ to 967K during the second quarter, while quarterly capacity was 1,290K. Overall utilization rate in 2Q25 grew to 76%.

Wafer Shipments

	2Q25	1Q25	4Q24	3Q24	2Q24
Wafer Shipments (12" K equivalents)	967	910	909	896	831

Quarterly Capacity Utilization Rate

	2Q25	1Q25	4Q24	3Q24	2Q24
Utilization Rate	76%	69%	70%	71%	68%
Total Capacity (12" K equivalents)	1,290	1,264	1,280	1,274	1,257

[3] Utilization Rate = Quarterly Wafer Out / Quarterly Capacity

Capacity[4]

Total capacity in the second quarter increased to 1,290K 12-inch equivalent wafers. Capacity will grow in the third quarter of 2025 to 1,305K 12-inch equivalent wafers.

Annual Capacity in *thousands of wafers*

FAB		Geometry (um)	2024	2023	2022	2021
WTK	6"	5 – 0.15	331	328	335	329
8A	8"	3 – 0.11	829	811	765	755
8C	8"	0.35 – 0.11	477	473	459	459
8D	8"	0.18 – 0.09	473	440	410	380
8E	8"	0.6 – 0.14	524	490	469	457
8F	8"	0.18 – 0.11	578	570	550	514
8S	8"	0.18 – 0.11	455	447	443	408
8N	8"	0.5 – 0.11	1,013	996	952	917
12A	12"	0.13 – 0.014	1,556	1,305	1,170	1,070
12i	12"	0.13 – 0.040	678	655	655	641
12X	12"	0.080 – 0.022	318	317	314	284
12M	12"	0.13 – 0.040	455	438	436	395
Total[(1)]			5,022	4,674	4,458	4,201
YoY Growth Rate			7%	5%	6%	3%

Quarterly Capacity in *thousands of wafers*

FAB		3Q25E	2Q25	1Q25	4Q24
WTK	6"	80	80	78	83
8A	8"	215	215	212	207
8C	8"	125	125	123	119
8D	8"	118	118	116	118
8E	8"	131	131	129	131
8F	8"	146	146	144	145
8S	8"	117	117	115	114
8N	8"	250	250	246	254
12A	12"	409	409	402	409
12i	12"	172	172	169	172
12X	12"	95	80	78	80
12M	12"	119	119	113	115
Total		**1,305**	**1,290**	**1,264**	**1,280**

[(1)] One 6-inch wafer is converted into 0.25 ($6^2/12^2$) 12-inch equivalent wafer; one 8-inch wafer is converted into 0.44 ($8^2/12^2$) 12-inch equivalent wafers. Total capacity figures are expressed in 12-inch equivalent wafers.

CAPEX

CAPEX spending in 2Q25 totaled US$273 million. 2025 cash-based CAPEX budget will be US$1.8 billion.

Capital Expenditure by Year - in US$ billion

Year	2024	2023	2022	2021	2020
CAPEX	$ 2.9	$ 3.0	$ 2.7	$ 1.8	$ 1.0

2025 CAPEX Plan

8"	12"	Total
10%	90%	US$1.8 billion

[4] Estimated capacity numbers are based on *calculated maximum output* rather than *designed capacity*. The actual capacity numbers may differ depending upon equipment delivery schedules, pace of migration to more advanced process technologies, and other factors affecting production ramp-up.

Third Quarter 2025 Outlook & Guidance

Quarter-over-Quarter Guidance:

- Wafer Shipments: Will increase by low-single digit %
- ASP in USD: Will remain firm
- Gross Profit Margin: Will be approximately Q2 gross margin subject to FX effect
- Capacity Utilization: mid-70% range
- 2025 CAPEX: US$1.8 billion

Recent Developments / Announcements

Apr. 30, 2025	UMC Achieves Highest Corporate Governance Ranking among Taiwan Listed Companies for 11th Consecutive Year
May 28, 2025	UMC Shareholders Approve NT$2.85 Cash Dividend at Annual Shareholders' Meeting
Jun. 30, 2025	UMC Wins Two Honors at the 2025 Asia Responsible Enterprise Awards

Please visit UMC's website for further details regarding the above announcements

Conference Call / Webcast Announcement

Wednesday, July 30, 2025

Time: 5:00 PM (Taipei) / 5:00 AM (New York) / 10:00 AM (London)

Dial-in numbers and Access Codes:

Taiwan Number:	02 3396 1191
Taiwan Toll Free:	0080 119 6666
US Toll Free:	+1 866 212 5567
Other Areas:	+886 2 3396 1191
Access Code:	3515530#

A live webcast and replay of the 2Q25 results announcement will be available at www.umc.com under the “Investors / Events” section.

About UMC

UMC (NYSE: UMC, TWSE: 2303) is a leading global semiconductor foundry company. The company provides high-quality IC fabrication services, focusing on logic and various specialty technologies to serve all major sectors of the electronics industry. UMC’s comprehensive IC processing technologies and manufacturing solutions include Logic/Mixed-Signal, embedded High-Voltage, embedded Non-Volatile-Memory, RFSOI, BCD etc. Most of UMC’s 12-in and 8-in fabs with its core R&D are in Taiwan, with additional ones throughout Asia. UMC has a total of 12 fabs in production with a combined capacity of more than 400,000 wafers per month (12-in equivalent), and all of them are certified with IATF 16949 automotive quality standards. UMC is headquartered in Hsinchu, Taiwan, plus local offices in the United States, Europe, China, Japan, Korea, and Singapore, with a worldwide total of 20,000 employees. For more information, please visit: http://www.umc.com.

Safe Harbor Statements

This press release contains forward-looking statements within the meaning of Section 27A of the United States Securities Act of 1933, as amended, and Section 21E of the United States Securities Exchange Act of 1934, as amended, and as defined in the United States Private Securities Litigation Reform Act of 1995. These forward-looking statements include, but are not limited to, statements regarding anticipated financial results for the second quarter of 2025; the expected wafer shipment and ASP; the anticipated annual budget; capex strategies; environmental protection goals and water management strategies; impact of foreign currency exchange rates; expected foundry capacities; the ability to obtain new business opportunities; and information under the heading "Third Quarter 2025 Outlook and Guidance."

These forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause the actual performance, financial condition or results of operations of UMC to be materially different from what is stated or may be implied in such forward-looking statements. Investors are cautioned that actual events and results could differ materially from those statements as a result of a number of factors including, but not limited to: (i) dependence upon the frequent introduction of new services and technologies based on the latest developments in the industry in which UMC operates; (ii) the intensely competitive semiconductor, communications, consumer electronics and computer industries and markets; (iii) the risks associated with international business activities; (iv) dependence upon key personnel; (v) general economic and political conditions; (vi) possible disruptions in commercial activities caused by natural and human-induced events and disasters, including natural disasters, terrorist activity, armed conflict and highly contagious diseases; (vii) reduced end-user purchases relative to expectations and orders; and (viii) fluctuations in foreign currency exchange rates. Further information regarding these and other risk factors is included in UMC's filings with the United States Securities and Exchange Commission, including its Annual Report on Form 20-F. All information provided in this release is as of the date of this release and are based on assumptions that UMC believes to be reasonable as of this date, and UMC does not undertake any obligation to update any forward-looking statement as a result of new information, future events or otherwise, except as required under applicable law.

The financial statements included in this release are prepared and published in accordance with Taiwan International Financial Reporting Standards, or TIFRSs, recognized by the Financial Supervisory Commission in the ROC, which is different from International Financial Reporting Standards, or IFRSs, issued by the International Accounting Standards Board. Investors are cautioned that there may be significant differences between TIFRSs and IFRSs. In addition, TIFRSs and IFRSs differ in certain significant respects from generally accepted accounting principles in the ROC and generally accepted accounting principles in the United States.

- FINANCIAL TABLES TO FOLLOW -